

Open Interest

Cheat Sheet





Open Interest

Price

Volume

Open interest

Market

↑ Rising

↑ Increasing

↑ Increasing

Strong Uptrend - Bullish

With prices moving up in an uptrend and total open interest increasing this show that new money is coming into the market which is considered bullish.

↑ Rising

↓ Decreasing

↓ Decreasing

Weak Uptrend - Bearish

If prices are rising and open interest declines the movement up is only likely to be caused by shorts covering and money is leaving rather than entering the market. Once shorts stop covering the trend is likely to reverse back down.

↓ Declining

↑ Increasing

↑ Increasing

Strong Downtrend - Bearish

If price is in a downtrend and open interest is rising this shows that new money is coming into the market with aggressive short selling which is considered bearish.

↓ Declining

↓ Decreasing

↓ Decreasing

Weak Downtrend - Bullish

If total open interest is declining along with declining prices this is considered bullish.

If volume and open interest are both increasing then the current price trend will probably continue in its present direction. If, however volume and open interest are declining the action can be viewed as exhausted and that the current price trend may be nearing an end.



Explained in Contenders Open interest +
Chart Champions Funding stream on 12. 2. 2020 (19:19)